CANADA BREAD COMPANY, LIMITED



INTERIM REPORT TO SHAREHOLDERS

For the Third Quarter Ended
September 30, 2001

CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

Sales for the quarter of $155 million represented a 7.6% increase from last year, reflecting increased revenues across all major product lines. For the year to date, sales of $439.9 million compared to $413.9 million, an increase of 6.3%.

Earnings from operations for the quarter of $9.2 million compared to $7.2 million last year, an increase of 28% as strategies put in place continue to yield improved operating margins and sales growth. For the year to date, earnings from operations of $21.9 million represents a 21% increase from $18.1 million last year as a result of improved operating margins and sales growth in the Company's domestic business and continued growth in profits on sales to Maple Leaf Bakeries in the US.

Net earnings for the quarter of $6.4 million ($0.30 per share) compares to $4.4 million ($0.21 per share) last year, an increase of 43% in earnings per share due to higher operating earnings, strong earnings from a 25% interest in Multi-Marques Inc., and lower interest expense.

On October 12, 2001, the company closed the purchase of the remaining 75% of Multi-Marques Inc., and now owns 100% of the business. The acquisition has been financed with existing cash and a new long-term debt facility (see note 2 in the financial statements).

Operating cash flow for the quarter of $21 million represents a significant increase over the prior year, arising from stronger earnings and improved working capital management. As a result, long term debt has been repaid, and the company has a net cash balance.

For the Board of Directors,



Roger Dickhout
President and Chief Executive Officer



Richard A. Lan
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts (Unaudited)	Quarter Ended September 30, 2001	Quarter Ended September 30, 2000	Nine Months Ended September 30, 2001	Nine Months Ended September 30, 2000
Sales	**$154,965**	$143,967	**$439,902**	$413,947
Earnings from operations	**9,214**	7,202	**21,865**	18,114
Other income	**1,197**	756	**1,467**	656
Earnings before interest and taxes	**10,411**	7,958	**23,332**	18,770
Interest expense, net	**2**	631	**438**	1,874
Earnings before income taxes	**10,409**	7,327	**22,894**	16,896
Income taxes	**4,048**	2,916	**9,411**	7,128
Net earnings for the period	**$ 6,361**	$ 4,411	**$ 13,483**	$ 9,768
Earnings per share	**$ 0.30**	$ 0.21	**$ 0.63**	$ 0.46
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.18**	$ 0.18
Weighted average number of shares (millions)	**21.4**	21.4	**21.4**	21.4

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars (Unaudited)	Quarter Ended September 30, 2001	Quarter Ended September 30, 2000	Nine Months Ended September 30, 2001	Nine Months Ended September 30, 2000
Cash Provided By (used in):				
Operating activities				
Net earnings for the period	**$ 6,361**	$ 4,411	**$ 13,483**	$ 9,768
Add (deduct) items not affecting cash:				
Depreciation	**4,443**	4,355	**13,487**	12,852
Amortization	**736**	725	**2,208**	2,243
Future income taxes	**212**	3,408	**529**	3,408
Associated company dividends, net of undistributed earnings	**(1,192)**	(696)	**8,961**	367
Changes in non-cash working capital	**10,470**	(7,779)	**1,362**	(19,567)
	21,030	4,424	**40,030**	9,071
Financing activities				
Dividends paid	**(1,285)**	(1,285)	**(3,855)**	(3,855)
Increase (decrease) in long-term debt, net	**(22)**	(5,023)	**(66)**	419
	(1,307)	(6,308)	**(3,921)**	(3,436)
Investing activities				
Additions to property and equipment	**(2,129)**	(2,079)	**(6,877)**	(6,323)
	(2,129)	(2,079)	**(6,877)**	(6,323)
Net increase (decrease) in cash for the period	**17,594**	(3,963)	**29,232**	(688)
Cash and cash equivalents, (Bank indebtedness), beginning of period	**8,358**	1,839	**(3,280)**	(1,436)
Cash and cash equivalents, (Bank indebtedness), end of period	**$ 25,952**	$ (2,124)	**$ 25,952**	$ (2,124)

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars, as at	September 30, 2001 (Unaudited)	September 30, 2000 (Unaudited)	December 31, 2000 (Audited)
Assets			
Current assets:			
Cash and cash equivalents	**$ 25,952**	$ —	$ —
Accounts receivable	**25,941**	29,632	25,094
Due from related company	**7,295**	5,776	5,281
Inventories	**14,710**	15,900	16,065
Income and other taxes receivable	**—**	738	1,673
Future tax asset	**2,254**	1,158	2,655
Prepaid expenses	**1,662**	1,829	1,740
	77,814	55,033	52,508
Investment in associated company	**38,010**	45,771	46,971
Property and equipment	**150,066**	158,962	156,676
Goodwill	**72,017**	74,964	74,225
	$337,907	$334,730	$330,380
Liabilities and Shareholders' Equity			
Current liabilities:			
Bank indebtedness	**$ —**	$ 2,124	$ 3,280
Accounts payable and accrued charges	**51,840**	51,586	55,958
Dividend payable	**1,285**	1,285	1,285
Income and other taxes payable	**5,235**	—	—
Current portion of long-term debt	**94**	103	102
	58,454	55,098	60,625
Long-term debt	**117**	15,194	175
Future tax liability	**34,267**	36,358	34,139
Shareholders' equity	**245,069**	228,080	235,441
	$337,907	$334,730	$330,380

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

In thousands of Canadian dollars (Unaudited)	Nine Months Ended September 30, 2001	Nine Months Ended September 30, 2000
Retained earnings, beginning of period	**$198,476**	$194,195
Adjustment to reflect change in accounting for income taxes	**—**	(8,993)
Net earnings for the period	**13,483**	9,768
Dividends declared	**(3,855)**	(3,855)
Retained earnings, end of period	**$208,104**	$191,115

The accompanying notes to the consolidated financial statements are an integral part of this statement.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(Quarter ended September 30, 2001 and September 30, 2000)

1. Basis of presentation

These consolidated financial statements should be read in conjunction with the consolidated financial statements for the year ended December 31, 2000 as set out on pages 11 to 19 of the 2000 Annual Report. These financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2000.

2. Acquisition

On October 12, 2001, the Company announced it has closed the transaction to increase its 25% ownership in Multi-Marques Inc. to 100% by purchasing the remaining outstanding shares from all the other shareholders. The purchase represents a net investment of approximately $120 million.

In October, the Company established a debt facility with a syndicate of banks to finance the net investment. The facility is structured as follows:

(i) a $110 million, revolving, reducing term facility maturing by 2005.

(ii) a $20 million revolving term facility which is extendible annually at the option of the lender, or may be converted into revolving term facility maturing in 2005.

These facilities can be drawn in either Canadian or US dollars and bear interest based on Banker's Acceptance rates for Canadian dollar loans, and Libor for US dollar loans.


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